



CA INTER MAY 2026

AUDITING & ETHICS

AUDIT REPORT

(SA 299, 600, 700, 701,
705, 706, 710)

ONE SHOT



CHAPTER 12: AUDIT REPORT (SA 700, 701, 705, 706, 710)

SA 700 – Forming an Opinion and Reporting on Financial Statements:

Intro. (Not Imp) (ICAI in Para)	- Preparation of FS & maintain IC for preparation of FS is Mngt's responsibility. - SA 700 also deal with Form & Content of Audit report for Audit of FS Q1. The requirements of SA 700 are aimed at addressing an appropriate balance between the need for consistency and comparability in auditor reporting globally (Old - RTP 2021) - SA 700 promote & balance the consistency & comparability of Audit report globally, Also increase the value of report by making info. Provided in report more relevant to user. - but also recognizes the need for flexibility to accommodate particular circumstances of individual jurisdictions - Consistency, when audit conducted as per SA's → Promote Credibility in global market → by making more readily identifiable those audits that have been conducted in accordance with globally recognized standard. - Also helps to promote user's understanding & identify unusual circumstances when they occur.												
Auditor's Objective:	- To form an opinion on FS based on evaluation of conclusions drawn from A.evidence obtained; - To express clearly that opinion through a written report.												
Definition:  – Student Specific Code	<table border="1" style="width: 100%; border-collapse: collapse;"> <tr> <th style="width: 50%;">General purpose financial statements</th><th style="width: 50%;">Special purpose financial statements</th></tr> <tr> <td>FS prepared in accordance with general purpose framework</td><td>FS prepared in accordance with Special Purpose Framework</td></tr> <tr> <th>General purpose framework</th><th>Special purpose framework</th></tr> <tr> <td>FRF designed to meet Common financial info. needs of wide range of users, it may be: 1) Fair presentation framework 2) Compliance framework </td><td>FRF designed to meet financial information needs of specific users, it may be: 1) Fair presentation framework 2) Compliance framework </td></tr> <tr> <td style="vertical-align: top;"> Fair Presentation Framework </td><td style="vertical-align: top;"> FRF that requires compliance with the requirements of framework, & : - Acknowledges explicitly or implicitly that, to achieve fair presentation of the FS, it may be necessary for mngt. to provide disclosures beyond those specifically required by the framework, Or - Acknowledges explicitly that it may be necessary for mngt. to depart from a requirement of the framework to achieve fair presentation of the FS. Such departures are expected to be necessary only in extremely rare circumstances </td></tr> <tr> <td style="vertical-align: top;"> Compliance Framework </td><td style="vertical-align: top;"> FRF that requires compliance with the requirements of framework But: Does not include acknowledgements as given in Fair presentation framework. </td></tr> </table>	General purpose financial statements	Special purpose financial statements	FS prepared in accordance with general purpose framework	FS prepared in accordance with Special Purpose Framework	General purpose framework	Special purpose framework	FRF designed to meet Common financial info. needs of wide range of users, it may be: 1) Fair presentation framework 2) Compliance framework	FRF designed to meet financial information needs of specific users, it may be: 1) Fair presentation framework 2) Compliance framework	Fair Presentation Framework	FRF that requires compliance with the requirements of framework, & : - Acknowledges explicitly or implicitly that, to achieve fair presentation of the FS, it may be necessary for mngt. to provide disclosures beyond those specifically required by the framework, Or - Acknowledges explicitly that it may be necessary for mngt. to depart from a requirement of the framework to achieve fair presentation of the FS. Such departures are expected to be necessary only in extremely rare circumstances	Compliance Framework	FRF that requires compliance with the requirements of framework But: Does not include acknowledgements as given in Fair presentation framework.
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➤ To Form an Opinion/Conclusion:

Q2. to form the audit opinion as per SA 700, auditor shall conclude as to whether the auditor has obtained reasonable assurance about whether the FS as a whole are free from MMS,. Explain the conclusions that the auditor shall take into account. Also explain the objective of auditor as per SA 700, Or,

"Auditor shall form an opinion on whether FS are prepared, in all material respects, as per FRF." Explain. Or FS as whole free from MMS, due to fraud or error. What factors he should consider to reach that conclusion?

Answer:

Auditor to Obtain Reasonable Assurance:

- The auditor shall form an **opinion whether FS are prepared, in all material respects**, as per applicable FRF
- To form opinion, auditor shall conclude as to whether auditor has **obtained reasonable assurance** about **whether FS as whole is free from MM**, whether due to fraud or error

That conclusion shall take into account:

- Whether **SAAE** has been obtained;
- Whether **uncorrected misstatements are material**, individually or in aggregate;
- The **evaluations of**:
 - Whether FS prepared as per FRF
 - Qualitative aspects of accounting policy, including indication of possible mngt bias

(Also mention the "**Auditor's objective**" as mentioned above)

➤ **Evaluation by auditor:**

Q3. auditor shall evaluate whether the FS are prepared as per applicable FRF. This evaluation shall include consideration of the **qualitative aspects** of the entity's accounting practices, possible mngt's bias. **Advise, Or** In considering the **qualitative aspects** of the entity's accounting practices, the auditor may become aware of possible bias in management's judgment. Explain and analyse the **indicators of lack of neutrality with examples, wherever required.** (Refer Only 4th Point .. along with example)

Qualitative Aspects of the Entity's Accounting Practices:

Evaluate whether the FS are prepared in accordance with the requirements of applicable FRF evaluation shall include consideration of **qualitative aspects of the entity's accounting practices**:

[Trick: "Mngt Judgement" & "Acc. Estimate" kabhi bhi Qty me nahi dekhke > "Quality" me dehte h > ho saketa hai "mngt neutral" naa ho to] **OR MM-NQ**

MM ~ Q

- Management judgements** about the **amounts and disclosures in the FS**
- SA 540** → addresses possible **management bias in making accounting estimates**
- SA 260** → discussion of **Qualitative aspects** of accounting practices
- In considering the qualitative aspects of entity's accounting practices, the auditor may become aware of possible bias in management's judgements.
The auditor may conclude that **lack of neutrality (Mngt Bias)** together with uncorrected misstatements causes the FS to be materially misstated. Indicators of a lack of neutrality include following:
 - The **selective correction** of misstatements brought to management's attention during the audit
Example:
 - Corrected the misstatement, which leads to increase in earning, but not corrected misstatement which dec. the earning)
 - The combination of several deficiencies affecting the same significant account or disclosure (or the same I.C. component) could amount to a **significant deficiency** (or material weakness if required to be communicated in the jurisdiction). This evaluation requires judgement and involvement of audit executives.
 - Possible **management bias** in the making of **accounting estimates**.

Q4. "An auditor is required to make **specific evaluations** while forming an opinion in an audit report." State them.

Specific Evaluations by the Auditor (Evaluate whether):

Trick: Dr. **STEP** or,

Trick: "**FS Relevant & reliable**" hi tab kahlaega jab "**Accounting policy**" & "**Estimate**" sahi ho bilkul, & "**Disclosure**" me "**terminology**" bhi bata dna

- The info. presented in the **FS is relevant, Reliable**, comparable, and understandable
- The **accounting Policies** selected and applied are consistent with the applicable FRF and are appropriate;

- 3) The FS adequately disclose **Significant accounting policies** selected and applied;
- 4) The accounting **Estimates** made by mgmt are reasonable
- 5) The FS provide adequate **Disclosures** to enable the intended users to understand the effect of material transactions and events on the information conveyed in the FS; and
- 6) The **Terminology** used in the FS, including the title of each FS, is appropriate

When FS is prepared as per Fair presentation framework

In addition to above mentioned evaluation, auditor shall also evaluate that **whether the FS achieve fair presentation** which shall include consideration of:

- a) The **overall presentation, structure and content** of the financial statements; and
- b) Whether the **FS, including the related notes**, represent the underlying transactions and events in a manner that achieves fair presentation

The auditor shall evaluate whether the FS adequately refer to or describe the applicable FRF

➤ FORM OF OPINION

Unmodified Opinion (SA 700)	The auditor shall express an unmodified opinion when, • Auditor concludes that the FS are prepared, in all material respects, • in accordance with applicable FRF
Modified Opinion (SA 705)	Auditor shall modify opinion as per SA 705, If the auditor: a) Concludes that based on A.evidence obtained → FS as whole are NOT free from MM, Or, b) Unable to obtain SAAE to conclude that → FS as whole is free from MM

➤ Elements of AUDITOR's REPORT (shall be in Writing)

Trick: TAO-B-GK-M-AO-SPD

	Heading	Content
1	Title	clearly indicates that it is the report of an independent auditor
2	Addressee	To whom the auditor's report is to be addressed, based on terms of engagement / L&R, Generally, Shareholders or TCWG (Partner's in case of Firm)
3	Auditor's Opinion	Heading " Opinion " 1) Identify the entity whose financial statements have been audited 2) State that the financial statements have been audited; 3) Identify the title of each statement comprising the financial statements 4) Refer to the notes, including the summary of significant accounting policies; and 5) Specify the date of, or period covered by, each FS comprising the FS
4	Basis for Opinion (Qn)	Heading " Basis for Opinion ": 1) States that the audit was conducted in accordance with Standards on Auditing; 2) Refer section of auditor's report that describes auditor's responsibilities under SAs; 3) Includes a statement that the auditor is independent of the entity in accordance with the relevant ethical requirements relating to the audit and has fulfilled the auditor's other ethical responsibilities in accordance with these requirements 4) States whether auditor believes → obtained sufficient and appropriate Audit evidence to provide a basis for the auditor's opinion.
5	Going Concern	Where applicable, the auditor shall report in accordance with SA 570 (Revised).
6	Key Audit Matters [KAM]	For audits of complete sets of general-purpose FS of listed entities , the auditor shall communicate key audit matters in the auditor's report in accordance with SA 701. [L&R may require communication of KAM for audits of entities other than listed entities .]
7	Mngt	a) Preparing the FS in accordance with the applicable FRF, and for such IC as management

	Responsibility for FS	determines is necessary to enable the preparation of FS that are free from MMS, whether due to fraud or error b) Assessing the entity's ability to continue as a going concern and whether the use of GC basis of A/cing is appropriate as well as disclosing, if applicable, matters relating to GC Oversight of the financial reporting process: Auditor's report shall identify those responsible for the oversight of the financial reporting process, when those responsible for such oversight are different from Mngt → heading of this section shall also refer to "TCWG" or such term that is appropriate in the context of the legal framework applicable to the entity.
8	Auditor's Responsibilities for Audit of FS :	
	Location of A. responsibility for FS audit	• Within the body of report • Within an appendix to the auditor's report, then, auditor's report shall include a reference to the location of the appendix, Or, • On website of an appropriate authority: By a specific reference within the auditor's report to the location of such a, where L&R or national auditing standards expressly permit the auditor to do so.
9	Other Reporting Responsibilities	If the auditor addresses other reporting responsibilities in report, that are in addition to auditor's responsibilities under the SA's, → "Separate Section" → Titled: Report on "Other Legal and Regulatory Requirements" or otherwise appropriate i.e., CARO. If this other responsibility, address the same topic, as required by SA's responsibility → Can use Same Section → but clearly differentiate other Reporting by SA's reporting
10	Signature:	by engagement partner & Name of Audit firm + Membership no. + Firm Reg. no. + UDIN
11	Place	Ordinarily CITY where the audit report is signed
12	Date	Date of the Auditor's Report: shall be dated no earlier than the date on which auditor has obtained SAAE

UDIN (Unique Document Identification Number): - 18 Digits

It was noticed that Non-CA were attesting the reports by **misrepresenting themselves** as CA, So, CA having full-time Certificate of Practice to register on UDIN Portal and generate UDIN by registering the certificates attested/certified by them.

So, an auditor is required to mention the **UDIN** with respect to each **audit report / Certificates signed by him, along with his membership number** while signing an audit report. (w.e.f 1st Feb 2019)

Q5. 18-digit alphanumeric was found in Audit report. What is **purpose** of that ? is it for **Audit report** only (RTP'25)

Hint:

- The 18-digit alpha numeric number noticed by her at end of audit report is Unique Document Identification number (**UDIN**). It is a system generated unique number.
- It was noticed that financial documents/ certificates attested by 3rd persons **misrepresenting themselves as CA Members were misleading** the Stakeholders. ICAI received no. of complaints of forged sign by non CAs
- Its **basic objective** is to **curb the above malpractices** → CA having full time Certificate of Practice can register on UDIN Portal & generate UDIN by registering the certificates attested/certified by them
- It is required to be stated in case of **audit reports and certificates**.

Q6. 18-digit alphanumeric was found in Audit report. What is **objective & significance?** is it for **A.report** only .

Answer:

- The 18-digit alpha numeric number noticed by her at end of audit report is Unique Document Identification number (**UDIN**). It is a system generated unique number.
- Its **basic objective** is to **curb the malpractices of non-CAs impersonating themselves as CAs**. It helps in securing reports and documents issued by practising CAs.

- It is required to be stated in case of **audit reports** and **certificates**.

Q7. ICAI ILLUSTRATION: M/s TUV & Associates are the statutory auditors of Venus Ltd. for the FY 2021-22. CA Tarun, to explain as to **how the auditor's report will be signed**.

Solution

The following is the correct way of signing an audit report.

M/s TUV & Associates
Chartered Accountants
(Firm's Registration No.)
Signature
(Name of the Member Signing the Audit Report)
(**Designation**) : Partner or Proprietor
(Membership No. XXXXX)
UDIN: 20037320AAAAAH1111

Place of Signature:
Date:

Q8. The auditor's report shall include a section with a heading "**Responsibilities of Management** for the FS." **SA 200** explains the premise, relating to the **responsibilities of mngt** and, where appropriate, **TCWG**. Explain.

Hint:

Responsibilities for the FS: The auditor's report shall include a **section with a heading** "Responsibilities of Management for the Financial Statements."

SA 200 explains the premise, relating to the **responsibilities of management** and, where appropriate, **TCWG**, on which an audit in accordance with SAs is conducted. Management and, where appropriate, **TCWG accept responsibility for the preparation of the FS**. Management also accepts **responsibility for such IC** as it determines is necessary to enable the preparation of FS that are free from MM, whether due to fraud or error. The description of management's responsibilities in the auditor's report includes reference to both responsibilities as it helps to explain to users the premise on which an audit is conducted.

Explain above report "point no.7"

Q9. first section of auditor's report include auditor's opinion, heading "**Opinion**." this section of report shall also Identify the entity whose FS audited. Apart from this, **explain other relevant points included in opinion sec.**

Hint: Explain above report "point no.3"

Q10. What an auditor should state in the "**Basis for opinion**" section of auditor's report ? When the auditor **modifies** the opinion on the FS, explain the **amendments** he should make in this section ?

Hint: Explain above report "point no.4" & Below:

Amendments an Auditor should make (When auditor modifies the opinion):

- Amend the heading "Basis for Opinion" required by para of SA700 (Revised) to "**Basis for Qualified Opinion**," "Basis for Adverse Opinion," or "Basis for Disclaimer of Opinion," as appropriate; and
- Within this section, include a **description of the matter** giving rise to the modification.

➤ **Auditor's Responsibilities for the Audit of the Financial Statements:**

Trick for above > OMR Sheet bharte waqt > Skepticism rkhn h ... y meri hi responsibility hai > ye chiz examiner ne phle hi communicate kar di thi

I) This section of the auditor's report shall state:	
a) Objectives of the auditor to:	(i) Obtain reasonable assurance that FS as a whole are free from MMS whether due to fraud or error (ii) Issue an auditor's report that includes the auditor's opinion .

b) Reasonable:	It's reasonable assurance, not guarantee that it will always detect MMS
c) Misstatements can arise from fraud or error:	(i) They are considered material if → expected to influence the economic decisions of users (ii) Provide a definition or description of materiality as per applicable FRF

II) The Auditor's Responsibilities for the Audit of the FS section of the auditor's report shall further:

a) Professional skepticism	State that the auditor exercises professional judgement and maintains professional skepticism throughout the audit.
b) State Auditor's responsibilities <i>[RIA ki GF meri responsibility hai]</i>	i) To identify & assess ROMM → whether due to fraud or error → Design and perform audit procedures responsive to those risks → Obtain SAAE for auditor's opinion. (Risk of non-detection of Fraud MMS is greater than Error) ii) Obtain an understanding of Internal control → relevant to the audit iii) Evaluate appropriateness of A/cing policies & Reasonableness of estimates & disclosure iv) conclude appropriateness of management's use of Going concern basis of accounting v) When FS are prepared in accordance with a Fair presentation framework → whether FS represent the underlying transactions & events in to achieves fair presentation.
c) SA 600 (Group Audit)	When SA 600 applies → For Group audit, The division of responsibility for financial info. i.e., extent of financial info. of components is audited by the other auditors have been included e.g., the number of divisions/branches/subsidiaries audited by other auditors

III) The Auditor's Responsibilities for the Audit of the FS section of the auditor's report also shall:

a) Communication as per SA 260:	State that the auditor communicates with TCWG → planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control
b) Listed Co.	For audit of Listed company → state that auditor provides TCWG statement that → it complied with relevant ethical requirements regarding independence
c) SA 701	For Listed co. → KAM are communicated in accordance with SA 701.

Q11. ICAI Illust: How will the auditor of Hotmeal Ltd **address the audit report** issued on the FS? **Also title ?**

INDEPENDENT AUDITOR'S REPORT

To the Members of Hotmeals Ltd.

Q12. ICAI Illust: How the statutory auditor of the Richa international firm will address the auditor's report.

INDEPENDENT AUDITOR'S REPORT

To the Partners of Richa International

Q13. ICAI Illust: how the **auditor's responsibilities** can be shown in an appendix to auditor's report. Draft it.

Answer:

Auditor's Responsibilities for the Audit of the Financial Statements:

Our objectives are to obtain reasonable assurance about whether the FS as a whole are free from MMS, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these FS.

A further description of our responsibilities for the audit of the financial statements is included in appendix X of this auditor's report. This description, which is located at [indicate page number or other specific reference to the location of the description], forms part of our auditor's report.

➤ Language of Unmodified Opinion (in "Auditor's Opinion" Para):

Q14. Which phrases are appropriate & which are inappropriate while drafting an **unmodified opinion**? (Sept 24)

- In our opinion, the accompanying financial statements present **fairly, in all material respects**, [...] in accordance with [the applicable financial reporting framework]; or
- In our opinion, the accompanying financial statements **give a true and fair view** of [...] in accordance with [the applicable financial reporting framework]

[**Not appropriate to use** phrases → "**with the foregoing explanation**" or "**subject to**" i.r.t **Unmodified opinion**]

Q15. The auditor has started drafting the audit report for FY 2020-21. CA Amitabh, the engt partner is of the view that the FS of Ringston Ltd. represent a true and fair view. Give the draft of the opinion Para.

Answer:

Opinion:

We have audited the financial statements of Ringston Limited which comprise the **Balance Sheet** as at 31.03.2021 and the statement of **Profit and Loss Account** and the **notes** to the financial statements, including a summary of significant accounting policies and other explanatory information.

In our opinion and **to the best of our information and according to the explanations given to us**, the aforesaid financial statements give the information required by the Act in the manner so required and **give a true and fair view** in conformity with the accounting principles generally accepted in India, of the **state of affairs** of the company **as at 31.03.2021** and the **Profit & Loss for the year** ending on that date

Basis of Opinion:

We conducted our audit **in accordance with the Standards on Auditing (SAs)** specified under **section 143(10) of the Companies Act, 2013**. Our responsibilities under those Standards are further described in the **Auditor's Responsibilities** for the Audit of the Financial Statements section of our report. We are **independent** of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India together with the **ethical requirements** that are relevant to our audit of the financial statements under the provisions of the Companies Act, 2013 and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the **audit evidence we have obtained is sufficient and appropriate** to provide a basis for our opinion.

Q16. (ICAI Illustration) Explain **how paragraph** related to the **mngt's responsibility** will come in auditor's report.

Answer:

Management's Responsibility for the Standalone Financial Statements:

The **Company's Board of Directors** is responsible for the matters stated in **section 134(5) of the Companies Act, 2013** ("the Act") with respect to the preparation of these standalone **financial statements** that give a true and fair view of the financial position, financial performance, (**changes in equity**) and **cash flows** of the Company in accordance with the accounting principles generally accepted in India, including the **accounting Standards** specified under **section 133 of the Act**. This responsibility also includes **maintenance of adequate accounting records** in accordance with the provisions of the Act for safeguarding of the **assets** of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate **accounting policies**; **making judgements and estimates** that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the financial statement that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a **going concern**, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so. Those Board of Directors are also responsible for overseeing the Company's financial reporting process.

Q17. Auditor is **drafting report expressing unmodified opinion**. After drafting para comprising unmodified opinion, **she feels No need to provide basis for opinion**. Discuss why her thinking is not proper.

Answer:

"Basis for Opinion" is one of basic elements of an audit report in accordance with SA-700. Even in cases where unmodified opinion is expressed by auditor, "Basis for opinion" has to be provided by auditor. Basis for opinion section provides context about auditor's opinion.

Therefore, Sana's thinking is not proper.

➤ AUDITOR'S REPORT PRESCRIBED BY LAW OR REGULATION

- SA 200 requires → In addition to SA's → comply with legal or regulatory requirement
- If any difference in L&R and SA's relate only to the layout and wording of the auditor's report
 - ✓ Minimum elements to be included in the auditor's report → Below Points of (a) to (m)
 - (otherwise, do not include reference to SA's)

Trick: TAO- ii - GBK (KAM) - MR - SPD

- Title
- Addressee
- Opinion Section
- Identification of the entity's FS that have been audited
- Statement that auditor is independent of entity & relevant ethical requirements as per ICAI code of ethics
- Where applicable, Section that addresses, and is not inconsistent with, the reporting requirements relating to going concern as per SA 570
- Where applicable, a Basis for Qualified (or Adverse) Opinion section that addresses, and is not inconsistent with, the reporting requirements relating to going concern as per SA 570 (Revised).
- Where applicable, a section that includes the information required by SA 701, or additional information about the audit that is prescribed by law or regulation and that addresses, and is not inconsistent with, the reporting requirements in that SA.
- A description of management's responsibilities for the preparation of the financial statements and an identification of those responsible for the oversight of the financial reporting process that addresses, and is not inconsistent with, the requirements as contained in this SA 700.
- A reference to SA's and the L&R, and a description of the auditor's responsibilities for an audit of the FS that addresses, and is not inconsistent with, the requirements as contained in this SA 700.
- Signature of auditor
- Place of signature
- Date of the auditor's report.

SA 701 - Communicating Key Audit Matters in the Independent Auditor's report:

Applicability:	• Listed Company General Purpose FS
Define KAM: (May'25)	• KAM are those matters that, in auditor's professional judgement were of most significance in the audit of the FS of the current period. • Key audit matters are selected from matters communicated with TCWG
Purpose of KAM:	Q18. Explain clearly the purpose of communicating key audit matters. Answer: As per SA 701, • To enhance the communicative value of auditor's report by providing greater transparency about the audit that was performed. • In Auditor's Judgement: Communicating KAM provides additional information to intended users of FS to assist them in understanding those matters that, in the auditor's professional judgement, were of most significance in the audit of the FS of current period. • In Management Judgment: Communicating KAM may also assist intended users in

	understanding the entity and areas of significant management judgement in audited FS.					
Determine KAM: [RJS]	Q19. auditor of listed Co, what matters auditor should keep in mind while determining KAM". Answer: The auditor shall determine, from the matters communicated with TCWG, those matters that required significant auditor attention in performing the audit. In making this determination, the auditor shall take into account the following: [RJS] (i) Areas of higher assessed risk of material misstatement [ROMM], or significant risks identified in accordance with SA 315 Identifying and Assessing the Risks of Material Misstatement through Understanding the Entity and Its Environment. (ii) Significant auditor judgments relating to areas in the financial statements that involved significant management judgment, including accounting estimates that have been identified as having high estimation uncertainty. (iii) The effect on the audit of significant events or transactions that occurred during period					
Language: KAM communication: (How KAM are communicated in audit report)	➤ The auditor shall describe each key audit matter, using an appropriate subheading, in a separate section of the auditor's report under the heading "Key Audit Matters". ➤ The introductory language in this section of the auditor's report shall state that: a) KAM are matters in → auditor's professional judgement, were of most significance in the audit of the FS [of the current period]; and b) These matters were addressed in the context of the audit of the FS as a whole, and in forming the auditor's opinion thereon, and the auditor does not provide a separate opinion on these matters.					
KAM is not Substitute:	Q20. KAM is not a substitute for disclosure in FS rather Communicating KAM in the auditor's report is in the context of the Auditor having formed an opinion on FS. Analyse. [IMP] Answer: Communicating key audit matters in the auditor's report is <u>not</u>: <table border="1" style="width: 100%; border-collapse: collapse;"> <tr> <td rowspan="4" style="width: 20%; text-align: center; vertical-align: middle;">Not Substitute for:</td><td>a) Disclosures in the FS that the applicable FRF requires management to make, or that are otherwise necessary to achieve fair presentation</td></tr> <tr> <td>b) Auditor expressing a modified opinion when required by the circumstances of a specific audit engagement in accordance with SA 705</td></tr> <tr> <td>c) For reporting in accordance with SA 570 when a material uncertainty exists relating to events or conditions that may cast significant doubt on an entity's ability to continue as a going concern</td></tr> <tr> <td>d) A separate opinion on individual matters.</td></tr> </table>	Not Substitute for:	a) Disclosures in the FS that the applicable FRF requires management to make, or that are otherwise necessary to achieve fair presentation	b) Auditor expressing a modified opinion when required by the circumstances of a specific audit engagement in accordance with SA 705	c) For reporting in accordance with SA 570 when a material uncertainty exists relating to events or conditions that may cast significant doubt on an entity's ability to continue as a going concern	d) A separate opinion on individual matters.
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	b) Auditor expressing a modified opinion when required by the circumstances of a specific audit engagement in accordance with SA 705					
	c) For reporting in accordance with SA 570 when a material uncertainty exists relating to events or conditions that may cast significant doubt on an entity's ability to continue as a going concern					
	d) A separate opinion on individual matters.					
Communicating with TCWG:	a) Those matters the auditor has determined to be the key audit matters; or b) If applicable, depending on the facts and circumstances of the entity and the audit, the auditor's determination that there are no KAM to communicate in the auditor's report.					
Not Communicate KAM when:	(i) L&R precludes public disclosure about the matter; or (ii) In extremely rare circumstances, the auditor determines that the matter should not be communicated in the auditor's report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication. This shall not apply if the entity has publicly disclosed information					
Example when No KAM:	Except for the matter described in the Basis for Qualified (Adverse) Opinion section or Material Uncertainty Related to Going Concern section,] We have determined that there are no [other] key audit matters to communicate in our report					

Q21. factors taken into account by auditor while determining KAM? How KAM are communicated in audit report?

Hint: Refer above notes: "Determine KAM" & "Language of KAM Communication"

SA 705 – Modifications To The Opinion In The Independent Auditor's Report:

SA 700	SA 705 : 3 Types of Modified Opinion		
Unmodified Opinion	Modified Opinion (3 types)		
	Qualified Opinion	Adverse Opinion	Disclaimer of Opinion

➤ Which type of opinion is appropriate – Factor's affecting Decision ?

Q22. Discuss factors affecting the decision of auditor regarding which type of modified opinion is appropriate.

Answer:

Decision regarding which type of modified opinion is appropriate depends upon:

a) Material	The nature of the matter giving rise to the modification, that is, - Whether the financial statements are materially misstated or, - in case of an inability to obtain SAAE, may be materially misstated; and
b) Pervasiveness	The auditor's judgement about the pervasiveness of the effects or possible effects of the matter on the financial statements of misstatement

	not pervasive	pervasive
Financial statements are materially misstated	Qualified opinion	Adverse opinion
Not able to obtain SAAE	Qualified opinion	Disclaimer of opinion

Above Answer Ends

Pervasive Meaning:	
Definition:	A term used, in the context of misstatements, to describe the effects on the FS of misstatements or the possible effects on the FS of misstatements, if any, that are undetected due to an inability to obtain SAAE.
In auditor's judgement:	Pervasive effects on the financial statements are those that, in the auditor's judgement: - Are not confined to specific elements, accounts or items of the FS; - If so confined, represent or could represent a substantial proportion of FS; or - In relation to disclosures, are fundamental to users' understanding of the FS.

Q23. Discuss the objective of the auditor as per SA 705 "

Objective of Auditor	To express clearly an appropriately modified opinion on the financial statements that is necessary when: (Refer below circumstances)
Circumstances when modification require:	1) Auditor concludes → based on the audit evidence obtained → FS as a whole are not free from MM; or 2) The auditor is unable to obtain SAAE to conclude that the FS as a whole are free from MM.

➤ Types of Modified Opinion:

Q24. Briefly explain when the auditor should express Qualified Opinion, Adverse Opinion & Disclaimer (MTP'25)

Qualified Opinion	Adverse Opinion	Disclaimer of Opinion
The auditor shall express a qualified opinion when auditor:	The auditor shall express an adverse opinion when auditor:	The auditor shall disclaim an opinion when:
a) Having obtained SAAE, concludes that misstatements, individually or in the	Having obtained SAAE →	He is unable to obtain SAAE &

aggregate, are material, but not pervasive , to the FS; or b) Unable to obtain SAAE on which to base the opinion, but auditor concludes that the possible effects on the FS of undetected misstatements, if any, could be material but not pervasive .	Concludes that Misstatement → Individually or in the aggregate are both material & Pervasive	He concludes that the possible effects on the FS of undetected misstatements could be both material & pervasive
--	--	---

Auditor shall **Disclaim opinion** when, in **extremely rare circumstances** involving **multiple uncertainties**, the auditor concludes that, **notwithstanding having obtained SAAE** regarding each of individual uncertainties, it is **not possible to form an opinion on FS** due to the potential interaction of the **uncertainties** & their possible cumulative effect on FS.

➤ Form and Content of the Auditor's Report When the Opinion is Modified

Auditor's Opinion: Use Following "Heading" : i.e., "Adverse Opinion"		
Qualified Opinion	Adverse Opinion	Disclaimer of Opinion
Qualified opinion due to a MM in the FS, state that: In the auditor's opinion, <u>except for the effects of the matter(s) described in the Basis for Qualified Opinion</u> section: When reporting in accordance with: a) Fair presentation framework: accompanying financial statements <u>present fairly, in all material respects (or give a true and fair view of) [...]</u> in accordance with <u>[the applicable FRF]</u>; or b) Compliance framework: accompanying FS have been <u>prepared, in all material respects, in accordance with [the applicable FRF]</u>. Unable to obtain SAAE: the auditor shall use the corresponding phrase "<u>except for the possible effects of the matter(s) ...</u>" for the modified opinion	Adverse opinion, the auditor shall state that, in the auditor's opinion, <u>because of the significance of the matter(s) described in the Basis for Adverse Opinion</u> section, When reporting in accordance with: a) Fair presentation framework: accompanying financial statements <u>do not present fairly (or give a true and fair view of) [...]</u> in accordance with <u>[the applicable FRF]</u>; or b) Compliance framework: accompanying financial statements have <u>not been prepared, in all material respects, in accordance with [the applicable FRF]</u>.	Auditor Disclaims an opinion, a) State that the auditor does not express an opinion on the accompanying FS; b) State that, <u>because of the significance of the matter(s) described in the Basis for Disclaimer of Opinion</u> section, the auditor has not been able to obtain SAAE to provide a basis for an audit opinion on FS; and c) <u>Amend the statement</u> required by SA 700 (Revised), which indicates that the <u>FS have been audited, to state that the auditor was engaged to audit the financial statements.</u>

➤ Basis for Opinion

Basis for Opinion: Amend the "heading" of "Basis of Opinion" as follows:		
Basis for Qualified Opinion	Basis for Adverse Opinion	Basis for Disclaimer of Opinion
	Include in the Basis for Opinion Section:	
If MMS of FS relates to specific amount in FS →	Description and quantification of the financial effects of the misstatement, unless impracticable	
If it is not practicable to	Auditor shall so state in this section	

quantify →	
If MMS of FS relates to narrative disclosure →	Explanation of how the disclosures are misstated
If MMS of FS relates to non-Disclosure of info →	a) Discuss the non-disclosure with TCWG b) Nature of the omitted information c) Unless prohibited by law or regulation, include the omitted disclosures
Inability to obtain SAAE →	Reasons for that inability

In case of "Disclaimer of Opinion" → report shall **not include the following elements** required by SA 700:

- A reference to the section of the auditor's report where the **auditor's responsibilities** are described; and
- A statement about whether **SAAE is obtained** to provide a basis for the auditor's opinion

Even if the auditor has expressed an adverse opinion or disclaimed an opinion on the financial statements, the auditor shall describe in the Basis for Opinion section the reasons for any other matters of which the auditor is aware that would have required a modification to the opinion, and the effects thereof

Q25. In case of **Disclaimer of Opinion**, which need **not to be included in the auditor's report** [Jan'25]

Hint: Refer above "**In case of "Disclaimer of Opinion" → report shall not include the following elements"**

Q26. Distinguish between adverse opinion & a qualified opinion. Draft an opinion para for both type of opinion

Hint: Refer Above "**Adverse & Qualified Opinion" Definition**

The following are the draft of the opinion paragraphs of the reports.

Adverse Opinion	Qualified Opinion
We have audited the accompanying consolidated financial statements of ABC Company Limited (hereinafter referred to as the "Holding Company") and its subsidiaries (the Holding Company and its subsidiaries together referred to as "the Group"), its associates and jointly controlled entities, which comprise the consolidated balance sheet as at March 31, 2021, the consolidated statement of profit and Loss, (consolidated statement of changes in equity) and the consolidated statement of cash flows for the year then ended, and notes to the consolidated FS, including a summary of significant accounting policies (hereinafter referred to as the "consolidated financial statements"). In our opinion and to the best of our information and according to the explanations given to us, because of the Significance of the matter discussed in the Basis for Adverse Opinion section of our report, the accompanying consolidated FS do not give a true and fair view in conformity with the accounting principles generally accepted in India, of their consolidated state of affairs of the Group, its associates and jointly controlled entities, as at March 31, 2021, of its consolidated profit/loss, (consolidated position of changes in equity) and the consolidated cash flows for the year then ended.	We have audited the standalone financial statements of ABC Company Limited ("the Company"), which comprise the balance sheet as at March 31, 2021, and the statement of Profit and Loss, (statement of changes in equity) and the statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies and other explanatory information (in which are included the Returns for the year ended on that date audited by the branch auditors of the Company's branches located at (location of branches)). In our opinion and to the best of our information and according to the explanations given to us, Except for the effects of the matter described in the Basis for Qualified Opinion section of our report, the aforesaid financial statements give a true and fair view in conformity with the accounting principles generally accepted in India, of the state of affairs of the Company as at March 31st, 2021 and profit/loss, (changes in equity) and its cash flows for the year ended on that date.

Q27. engt partner CA Young noticed that the company has **not bifurcated its loans into long term & short term**. CA Young understands that such misstatement is **not pervasive** but is **material**. Explain type of opinion.

Qualified Opinion

M/s Young Old & Associates should give a qualified opinion as the effect of the misstatement on account of the non-bifurcation of loans into long term and short term loans, is material but not pervasive..

Q28. auditors found that **stocks & debtors of company constituting about 80% of total assets of the company are not realisable**. Further, the **cashier of the company has committed a fraud**. Both the facts are **not reflected in the FS**. both the situations on the FS is **material and pervasive**. Explain reporting

Adverse Opinion:

The auditor shall express an **adverse opinion** when the auditor, having **obtained SAAE**, concludes that misstatements, individually or in the aggregate, are both **material and pervasive** to the financial statements.

(explain exact given Case ... exactly same as Qns)

Further, CA Taj should also consider **reporting responsibilities in CARO 2020 & section 143(12) of Co. Act**.

Q29. During the year, **company transferred its accounts to computerised system (SAP) from manual system of accounts**. Since the employees were not well versed with SAP system, there were **many errors in accounting**. As such the **auditor of company were not able to extract correct data**. Such data was **not available manually also**. Further, **mngt of company were not supportive**. Explain kind of audit report to issue.

Disclaimer of opinion:

When statutory auditor of company is unable to obtain SAAE, auditor should give disclaimer of opinion (SA 705). **Explain Given Case →**. Also, such data and reports are not available manually → should give a disclaimer of opinion

➤ **Inability to Obtain SAAE Due to a Mngt Imposed Limitation after the Auditor Has Accepted the Engagement**

Mngt has imposed limitation on scope of audit that the auditor considers is **likely** to result in the need to express a **qualified opinion or to disclaim** an opinion on the FS → **Request that management remove limitation:**

If management remove the limitation:	If management refuses to remove the limitation:	
Proceed with audit procedures	- Auditor shall communicate the matter to TCWG, unless all TCWG involved in Mngt & - Perform alternative procedures to obtain SAAE.	
	Still unable to obtain SAAE & Possible effects of misstatement:	
	Material & not pervasive	Material & Pervasive
	Qualify the opinion	Withdraw from the audit, where practicable & Possible under L&R - If not possible to withdraw: Disclaim an opinion
As Discussed above → If Auditor Withdraw → before withdrawing, the auditor shall communicate to TWCG any matters regarding misstatements identified during the audit that would have given rise to a modification of the opinion		

Q30. While conducting audit, you as an auditor are not only **prevented in completing certain audit procedures** but also are not able to obtain audit evidence even by performing alternative procedures. How you will deal?

Hint: As per SA 705 → if, after accepting the engagement, the auditor becomes aware that management has imposed a limitation → Refer above → **"Inability to obtain SAAE due to mngt imposed limitation"** (Refer above)

Q31. **Not** provided support to **attend inventory count**, not provided **customer address**, not able to **verify revenue**, → Higher mngt also not supporting → effect is material → Opinion qualification is inadequate.

Hint: **Refer Above:** i.e., Snr Mngt not supporting + effect is material & pervasive → Withdraw / Disclaim

Q32. CA Daisy, **engagement partner wants to verify the cash in hand** as on 31.03.2021. **Cash balance of company**

is Rs.1 lacs & Turnover is Rs. 1 crore. The mngt of the company informs CA Daisy that such cash verification is not possible as cashier is on leave. Explain relevant provisions to deal with such a situation.

Hint: → After accepting the engagement → Mngt has imposed a limitation on the scope → result to express a qualified opinion or to disclaim → result mngt to express a qualified opinion or to disclaim

In Given case → The same is due to a **limitation imposed by the Mngt of Zebra Ltd.** which is due to the non availability of the cashier. In such situation, **CA Daisy should perform alternate procedures to verify the cash on hand of company.** Further, **consider the impact on the A.sreport & may consider issuing a qualified opinion.**

Q33. Auditor feels that there is an **atmosphere of non-cooperation** all around. **Not able to attending inventory count + CFO not provided addresses of customers for sending external confirmations + Not able to verify revenue** → misstatement **can be Material & affect many aspects of FS** → Not possible to withdraw → what Opinion?

Hint: **not been able to obtain SAAE relating to inventories, debtors, creditors, etc** → . matter has brought to knowledge of management but no result → **material and pervasive.** → **disclaimer of opinion (SA 705)**

➤ When Auditor Disclaims an Opinion:

Description of Auditor's Responsibilities → <i>[SA's me likha hai wo sab follow kara hai > Independence follow karne ka > wo kari > fir bhi SAAE nii mila]</i>	When Auditor disclaims an opinion due to inability to obtain SAAE, description of the auditor's responsibilities required by SA 700 include only following: - A statement that auditor's responsibility is to conduct audit in accordance with SA's and to issue an auditor's report - A statement that, however, because of the matter(s) described in the Basis for Disclaimer of Opinion section, the auditor was not able to obtain SAAE to provide a basis for an audit opinion on the FS; and - The statement about auditor independence and other ethical responsibilities required by SA 700 (Revised). <i>[Auditor's report shall not include the reference to section of auditor's report that describes the <u>auditor's responsibilities</u> and statement w.r.t. <u>auditor's believing that sufficient appropriate audit evidence obtained</u>]</i>
KAM (SA 701)	Unless required by law or regulation → Not include a Key Audit Matters as per SA 701

Q34. When auditor disclaims an opinion on the FS due to an inability to obtain SAAE, the auditor shall amend the description of the auditor's responsibilities required by SA 700. Explain (Old)

Hint: refer above "**Description of Auditor's responsibility**" when auditor's disclaim the opinion.

➤ Communicate with TCWG when Modify Opinion:

Q35. CA Moon are statutory auditors of V Ltd. Owing to the pervasive nature of MMS in FS of company, CA Moon, decided to give adverse opinion. Explain the **responsibility of CA Moon w.r.t communication TCWG.**

Answer:

CA Moon, being the statutory auditor of Venus Ltd. should communicate with TCWG about

- The **circumstances** that led to the expected modification i.e. an adverse opinion.
- Further the **wording** of such modification also needs to be discussed

Barcode – Student Specific Code

SA 706 – Emphasis of Matter Paragraph & Other Matter Paragraphs in the Independent Auditor's report:

Objective:	To draw users' attention, when in the auditor's judgement it is necessary to do so, by way of clear additional communication in the auditor's report, to:
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	a) A matter, although appropriately presented or disclosed in the FS, that is of such importance that it is fundamental to users understanding of the FS; or b) As appropriate, any other matter that is relevant to users' understanding of the audit, the auditor's responsibilities or the auditor's report.	
	Emphasis of Matter Paragraph (EOM)	Other Matter Paragraphs (OM)
Definition:	EOM para included in auditor's report: that refers to a matter appropriately presented or disclosed in the FS → that, in auditor's judgement, is of such importance that it is fundamental to users' understanding of FS.	OM para included in auditor's report: that refers to a matter other than those presented or disclosed in the FS → that, in the auditor's judgement, is relevant to users' understanding of the audit, the auditor's responsibilities or the auditor's report.
Condition to include:	- If the auditor considers it necessary to draw users' attention - to matter presented or disclosed in FS - that, in auditor's judgement, is of such importance that it is fundamental to users' understanding of the financial statements	- If the auditor considers it necessary to communicate/Draw user Attention - matter other than those that are presented or disclosed in the FS - that, in auditor's judgement, is relevant to users' understanding of audit, auditor's responsibilities or the auditor's report
Para shall be included, Provided:	a) SA 705: Auditor would not be required to modify the opinion as a result of matter & b) If SA 701 applies, Matter has not been determined to be a key audit matter	(a) This is not prohibited by L&R ; & (b) If SA 701 applies, the matter has not been determined to be a key audit matter
Separate section & considerations to take by Auditor:	When the auditor includes an EOM Para: a) Include para in separate section of auditor's report with appropriate heading that includes term "Emphasis of Matter"; b) Include in para a clear reference to the matter being emphasized and to where relevant disclosures that fully describe the matter can be found in the financial statements. The paragraph shall refer only to information presented or disclosed in the financial statements; and c) Not modified: Indicate that auditor's opinion is not modified i.r.o the matter emphasized.	When the auditor includes an OM para: in the auditor's report, the auditor shall include the paragraph within a separate section with the heading "Other Matter," or other appropriate heading.
Examples: [Qn] ["Pahle" "earthquake" aaya tha, "Baad" me "Subsequent" kya hoga wo bhi pata nhi]	Early application (where permitted) of a new accounting standard that has a material effect on the FS. - A major catastrophe that has had, or continues to have, a significant effect on the entity's financial position - An uncertainty relating to future outcome of exceptional litigation or regulatory action.	Branch is audited by another auditor - Another set of FS prepared in accordance with another general-purpose framework and that the auditor has issued a report on those financial statements - Auditor's report is intended solely for the intended users, and should not be distributed to or used by other parties. Etc.

- 4) A **significant subsequent** event that occurs between the date of the FS and the date of the auditor's report.
- 5) Etc.

Inclusion of EOM para will Not Affect Auditor's Opinion,

An Emphasis of Matter paragraph is **not a substitute for**:

SA 705:	A modified opinion in accordance with SA 705, when required by the circumstances
SA 570:	Reporting in accordance with SA 570, when a material uncertainty exists relating to events or conditions that may cast significant doubt on an entity's ability to continue as a GC
FRF Disclosure:	Disclosures in FS that the applicable FRF requires management to make, or that are otherwise necessary to achieve fair presentation

Communicate with TCWG:

If the auditor expects to include an EOM or OM para, in the auditor's report, the auditor shall communicate with TCWG regarding this **expectation and the wording** of this paragraph.

Q36. Define EOM paragraph. When auditor shall include an EOM? show the auditor would include EOM ?

Hint: "Refer above EOM para notes": "Definition" & "Condition to include" "Para shall be included" & "Separate section"

Q37. Define EOM Paragraph and how it should be disclosed in the Independent Auditor's Report?

Hint: "Refer above EOM para notes": "Definition" & "Separate Section"

Q38. During audit, there was a fire in company's factory so, some of company's machinery was destroyed. The same was disclosed by the company in notes → CA K decided to communicate this matter in auditor's report as → it is fundamental to user's understanding → Help CA K to deal with this in A. report

Answer: → **Emphasis on Matter Paragraph** in the Auditor's Report. The draft of the same is as under:

Emphasis of Matter - Effects of Fire in Company's Factory

We draw attention to **Note Y** of the s, which describes the effects of a **fire** in the Company's factory. Our opinion is **not modified** in respect of this matter.

Q39. The company takes property in the barter deal from its real estate customers against publication of their advertisements. Properties obtained have been considered in the books of accounts on the basis of possession letter only and have been included in PPE in the FS. Considering this matter of such importance that is fundamental to users understanding, CA P wants to report this matter in his audit report (Old)

Hint: Refer above "Define" EOM Para, "para shall be Included provided", **Draft** as follows:

Emphasis of Matter - Effect of Properties obtained through barter deals by the company We draw attention to **Note (Y) of the financial statements**, which describes the effects of the properties obtained through barter by the company. Our opinion is **not modified** in respect of this matter

(Alternate Solution: Can refer CARO 2020, Clause 1 (C), title deed is not in a company name)

Q40. discuss considerations to be taken care of by auditor when EOM para is included in A.report. (MTP 2024)

Hint: Refer above "Separate section & considerations to take by Auditor"

Q41. Company received notice from telecom regulator for violating norms → Company filed Litigation (still pending), as well as disclosed the same in FS → How to report this matter in Audit report. (Jan'25) [It's Hint]

Hint: Alternate 1: SA 706 → EOM → refer above notes "Separate section & considerations to take by Auditor"

Alternate 2:

- SA 501 → if auditor assess ROMM reg. litigation → seek direct communication from entity legal council
- SA 706 → EOM (uncertainty relating to the future outcome of exceptional litigation)
- Sec 143(3) → whether company has disclosed impact, if any, of pending litigations on its financial position in FS
- Assess whether pending appeal required any adjustment in FS → ask mngt to make necessary adjustment in FS →

if adjustment not made, consider the s accordingly

SA 710 – Comparative Information – Corresponding Figures & Comparative F.S.:

Auditor's Objective:	- To obtain SAAE about whether the comparative information included in the FS has been presented, in all material respects, in accordance with the requirements for comparative information in the applicable FRF; and - To report in accordance with the auditor's reporting responsibilities
Comparative Info.	The amounts and disclosures included in the FS in respect of one or more prior periods in accordance with the applicable FRF, It includes: 1) Corresponding Figures 2) Comparative FS
Corresponding Figures:	Comparative information where amounts and other disclosures for prior period are included as an integral part of the current period financial statements and are intended to be read only in relation to the amounts and other disclosures relating to the current period. The level of detail presented in the corresponding amounts and disclosures is dictated primarily by its relevance to the current period figures
Comparative F.S:	Comparative information where amounts and other disclosures for the prior period are included for comparisons with the financial statements of the current period but, if audited, are referred to in the auditor's opinion. The level of information included in those comparative FS is comparable with that of the FS of the current period.

➤ Audit Reporting: Corresponding Figures

Q42. When **corresponding figures** are presented, the auditor's opinion shall **not refer to the corresponding figures except** in some circumstances. Explain those circumstances [Refer Below full Answer, → Except: → "Prior Period FS audited by Predecessor Auditor"]

Answer:

Auditor's opinion on the financial statements **refers to the current period only**

So, **Generally Audit opinion NOT refer to corresponding figures, Except** in below cases:

Auditor's report in prior period FS was modified and the subject matter is still unresolved →	Modify opinion in current audit report (FS) also. <u>In Basis the Basis for Modification para:</u> (i) When Effect on current period figures are material: Refer to both → current period's figures & corresponding figures in the description of the matter giving rise to the modification (i.e., Basis of modification) when the effects or possible effects of the matter on the current period's figures are material; or (ii) In other cases (Not Materially affect Current period), explain that the audit opinion has been modified because of the effects or possible effects of the unresolved matter on the comparability of the current period's figures and the corresponding figures.
	Auditor's report on prior period FS was Unmodified, But in CY auditor obtains audit evidence w.r.t. existence of material Express qualified/ adverse opinion on current F.S. w.r.t. Corresponding figures if misstatement has not been dealt as required by applicable FRF

misstatement in prior period F.S. →	
Prior Period FS Not Audited →	State in an "Other Matter paragraph" → that <u>corresponding figures are unaudited</u> . However, it will not relieve the auditor of the requirement to obtain SAAE that the opening balances do not contain misstatements that materially affect the current period's FS
Prior Period FS audited by Predecessor Auditor →	If the FS of prior period were audited by a predecessor auditor, + If permitted by L&R to refer Predecessor Auditor's report on <u>Corresponding Figures</u> + Auditor decides to do so → the auditor shall state in an "Other Matter Para": a) That FS of prior period were audited by predecessor auditor b) Type of opinion expressed by him & if modified, then reason c) Date of that report → unless predecessor auditor's report on the prior period's FS is revised with the FS

Hence, Prior period FS audit report include modification → But It's resolved & Properly disclosed + accounted → auditor's opinion of the current period need not refer to modifications

Q43. If the FS of prior period were audited by a predecessor auditor, in addition to expressing an opinion on the current period's FS, what is required to be stated by the auditor in an Other Matter Para (OLD) , Or,
Q. NG Ltd. appointed CA N as statutory auditor for the F.Y. 2021 -2022. Previous year's auditor gave a qualified opinion on Comparative FS for FY ended 31.03.2021. What will be the reporting responsibility casted on CA N when he forms an opinion & prepares audit report on Comparative FS for the F.Y. 2021-2022? (Old)

Hint: Refer Above → "Prior Period FS audited by Predecessor Auditor"

Q44. Comparative FS → CA K appointed in CY → noticed that last year FS contain Adverse Opinion → Guide CA K regarding Treatment & addressing the issue while drafting Audit report. What disclosure to make [Jan'25]

Hint: Refer Above → "Auditor's report in prior period FS was modified and the subject matter is still unresolved" & "Prior Period FS audited by Predecessor Auditor" [Can read Full Qn in Qn Bank → Just to see Qn Language]

➤ Audit Reporting: Comparative FS

Refer Each Period:	Audit opinion to refer to each period for which F.S. are presented and on which opinion is expressed.
Opinion of Prior FS is differ now:	If opinion on prior period FS expressed in current period differs from Opinion expressed in the relevant prior period , give substantive reason for difference in Other Matter Para (706)
Prior Period FS Not Audited (same as above)	Auditor to State in " OM Para " in auditor's report that Comparative figures are Unaudited (However Such statement does not relieve auditor of requirement to Obtain SAAE that opening balances not contain misstatements that materially affect Current period's FS)
Prior period FS audited by Predecessor Auditor:	If the FS of prior period were audited by a predecessor auditor, in addition to expressing an opinion on the current period's FS, the auditor shall state in an " Other Matter Para ": a) That FS of prior period were audited by predecessor auditor b) Type of opinion expressed by him & if modified, then reason c) Date of that report → unless predecessor auditor's report on the prior period's FS is revised with the FS
MMS exist in Prior-period FS → on Which Predecessor auditor issue report	- Auditor shall communicate misstatement with appropriate level of mngt and TCWG and request that the predecessor auditor be informed. - If the prior period FS are amended, and predecessor auditor

without
modification:

agrees to issue a new auditor's report on the amended FS of the prior period, the auditor shall report only on the current period

➤ Audit Procedures regarding comparative information:

SA 710, "Comparative Information – Corresponding Figures and Comparative Financial Statements", establishes standards on the auditor's responsibilities regarding comparatives.

- The auditor shall **determine whether the FS include the comparative information** required by the applicable FRF & whether such info is appropriately classified. For this purpose, the auditor shall Perform Specific Procedure evaluate whether:
 - (i) The **comparative information agrees** with the amounts and other disclosures presented in the prior period;
 - (ii) The **A/cing policies** reflected in comparative info are **consistent** with those applied in current period or,
 - (iii) if there have been **changes** in accounting policies, whether those changes have been properly accounted for and adequately presented and **disclosed**.
- **If the auditor becomes aware of a possible MMS** in comparative info, the auditor shall
 - **Perform such additional audit procedures** as are necessary in the circumstances to obtain SAAE to determine whether a MMS exists.
 - **If auditor had audited the prior period's FS**, the auditor shall also **follow relevant requirements of SA 560**
- As required by **SA 580**, **the auditor shall request written representations** for all periods referred to in the auditor's opinion. The auditor shall also obtain a specific written representation regarding any prior period item that is separately disclosed in the current year's statement of profit and loss.

Q45. The nature of the comparative Info that is presented in an entity's FS depends on the requirements of the applicable FRF. There are 2 different approaches: corresponding figures and comparative FS.

Explain clearly stating the essential audit reporting differences between the approaches. Also define comparative information and audit procedures regarding comparative information.

Hint:

The essential audit reporting differences between the approaches are:

- a) For corresponding figures, the auditor's opinion on the FS refers to the current period only; whereas
- b) For comparative FS, the auditor's opinion refers to each period for which FS are presented.

Refer above notes: "Definition of Comparative information" & "Audit Procedures regarding comparative info."



THANK YOU